

FREEMARKETWATCH.WORLD

Session 5 of 6 · ~2 hours including discussion

Bitcoin

The answer to the question gold could not solve

Why We Can't Just Go Back to Gold

“What the world needed was something with all of gold's monetary properties — but that could be sent anywhere, verified by anyone, and controlled by no one. For most of history, that was simply impossible. Then, in 2009, it was not.”

To return to a gold standard would be to repeat the same cycle. Gold's fatal flaw is structural, not political. Governments, banks, and institutions entrusted to issue certificates equal to their gold holdings found ways — quietly, incrementally, without public knowledge — to issue more claims than gold existed.

Each step seemed small and justified at the time. The full picture only became visible in hindsight. No amount of good intentions fixes the fact that gold is heavy, hard to verify, and impossible to move across the world instantly without trusting someone.

What Bitcoin Is

A peer-to-peer system

Send value directly between two people anywhere in the world — without any trusted third party. Not a bank. Not an exchange. Not a payment processor. Two people, transacting directly.

Fixed supply: 21 million

Hard capped. Unchangeable. The first monetary asset in human history with a provably fixed supply — not policy, not law, but mathematics running on thousands of computers.

No controlling authority

No government issues it. No central bank sets its supply. No institution can inflate it. Rules enforced by mathematics and a globally distributed network.

Fifteen years of operation

Introduced January 2009. Has operated continuously without failure for fifteen years. No CEO. No headquarters. A protocol, like the internet itself.

Bitcoin vs Gold — Head to Head

Scarcity

GOLD

Finite but unknown total. New gold mined continuously.

BITCOIN

Hard cap: 21M. The last bitcoin mined ~2140. Unchangeable by anyone.

Portability

GOLD

Heavy and slow. Requires physical infrastructure and trusted custodians.

BITCOIN

Sent anywhere in minutes. A billion dollars moves as easily as a dollar.

Verifiability

GOLD

Requires physical testing. Certificates require trust.

BITCOIN

Every transaction verified instantly by the entire network. Counterfeiting is mathematically impossible.

Decentralization

GOLD

Storage concentrates in vaults. Custodians become control points.

BITCOIN

Thousands of independent nodes worldwide. No single point of control.

Durability

GOLD

Does not corrode. Physically durable over millennia.

BITCOIN

Indestructible as long as the network exists.

Divisibility

GOLD

Requires physical manipulation. Small transactions impractical.

BITCOIN

Divisible to 8 decimal places — one satoshi enables any transaction size.

Common Questions — Honest Answers

Isn't it just speculation?

Volatility reflects early adoption stage — like any emerging asset class. Gold was also volatile early. What matters is whether the monetary properties hold. Fifteen years says they do.

Can governments ban it?

They can restrict. They cannot shut down a global distributed network with no central point. Every outright ban has been extremely difficult to enforce.

What about other cryptos?

Most have no fixed supply and central teams who can change the rules. Bitcoin is categorically different — provably fixed supply, no controlling authority, fifteen years unbroken.

What about energy use?

Real tradeoff worth understanding. Compare to the energy cost of gold mining, armored transport, and the global banking system. Whether the value justifies the cost is a legitimate debate.

DISCUSSION — Session 5

1. Gold's fatal flaw was portability requiring trust. Does Bitcoin's solution make sense to you? What is your remaining skepticism?
2. "The first money in history with a provably fixed supply." If that is true — what are the implications?
3. What is the strongest argument against Bitcoin you can make? Steel-man the skeptic position.
4. We haven't talked about what to do with this information. What questions are you sitting with going into the final session?

Coming Next — Session 6

“Understanding Bitcoin is the first step. But understanding alone does not change anything. What does actually living on a bitcoin standard look like?”

Homework prompt

Describe Bitcoin to someone who has never heard of it in three sentences. Not the price — the idea. See what questions they ask.

Explore the data

freemarketwatch.world — see Bitcoin's purchasing power performance vs currencies and other assets

Session 6 preview

What you now understand — and what comes next. Resources, community, and the path forward for individuals and communities.